



Information control, role perceptions, and work outcomes of boundary-spanning frontline managers

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ABSTRACT

Previous research demonstrates the destructive consequences of role stress for the work outcomes of employees occupying boundary-spanning positions. Most studies examine the behavior and performance of industrial salespeople. In contrast, limited evidence exists regarding the antecedents and consequences of role stress in service organizations. This article helps fill this notable gap by investigating the correlates of role ambiguity in the context of frontline managers in banking institutions. The article offers a conceptual model and an empirical test using data gathered from 316 bank branch managers. The study findings reveal that information control is an effective mechanism for reducing role ambiguity. The results also indicate that role ambiguity negatively affects job performance and job satisfaction, intrinsic motivation positively relates to job satisfaction, and bank managers' job performance enhances branch effectiveness. The article concludes with a discussion of study implications and suggestions for future research in the field.

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1. Introduction

The critical role of boundary spanners in influencing organizational effectiveness encourages significant research attention in the marketing literature. Researchers show interest in the realization that boundary-spanning positions are susceptible to role stress (Singh et al., 1996). Role stress has detrimental effects on employees' motivation and morale and results in poor outcomes in terms of job satisfaction, job performance, organizational commitment, and turnover rates (Babin and Boles, 1998; Brown and Peterson, 1993; Churchill et al., 1985).

Boundary spanners are commonly the main revenue generators for their firms and the only employees who come in direct contact with the paying customer. Therefore, role stress presents a major obstacle to the achievement of performance objectives. Organizations can benefit greatly by adopting appropriate management practices

that reduce feelings of role stress, especially among customer-contact employees.

This study develops a broad conceptual framework that examines interrelationships among information control, role ambiguity, intrinsic motivation, job outcomes, and organizational effectiveness and offers an empirical test for a structural model using data collected from bank branch managers. Branch managers represent a typical example of a boundary spanner. On the one hand, they constantly battle to achieve the financial and operational performance objectives of their branch, set by upper management. On the other hand, they face constant pressure from bank customers who demand lower interest rates and charges for their credit facilities or higher returns for their deposits and other investments. These managers' success in satisfying the diverse and often conflicting demands of top management, customers, and other stakeholders determines the long-term prosperity of the organization.

The purpose of this study is to extend the existing literature through three specific contributions. First, the study emphasizes the important role of area managers in fulfilling the information needs of branch managers and reducing their level of job- and supervisor-related role ambiguity. Second, the study answers research calls for integrating intrinsic motivation into the job satisfaction model (Brown and Peterson, 1993). Third, the study provides an empirical test for a comprehensive model of the antecedents of frontline managers' job satisfaction and performance in the neglected context of financial service providers.

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2. Theoretical background

2.1. Role ambiguity

The important role of boundary-spanning positions in organizations has attracted significant research attention during the past four decades. Most previous studies focus on identifying the factors that can either obstruct or enhance the performance of boundary spanners. In terms of the frequency of investigation, the most relevant constructs are boundary spanners' personal characteristics, job/task characteristics, organizational factors, and role perceptions (Brown and Peterson, 1993; Churchill et al., 1985). Research findings indicate that role stress is a critical factor that negatively affects the job-related attitudes and behaviors of employees occupying boundary-spanning positions (Singh et al., 1996). Building on the work of Rizzo et al. (1970), the marketing and sales management literature focuses on two role stressors, namely, role ambiguity and role conflict. These constructs represent an integral part of conceptual and empirical models that attempt to examine the antecedents of important work outcomes, such as job satisfaction, organizational commitment, job performance, and turnover intentions (Babin and Boles, 1996, 1998; Fry et al., 1986; Johnston et al., 1990). Although empirical results regarding the influence of role conflict and role ambiguity are not always consistent, a consensus exists in the literature that role stress disrupts business activities. Therefore, organizations are better off if they can reduce feelings of role stress among their employees.

Role conflict reflects an employee's feelings that the demands/expectations of some job requirements are incompatible with the demands/expectations of other job requirements (Rizzo et al., 1970). Role ambiguity reflects employee uncertainty about which job behaviors are most appropriate in a given situation (Rizzo et al., 1970). For employees occupying boundary-spanning positions, some feelings of role conflict and role ambiguity are inevitable, especially in highly turbulent industries. However, as Singh and Rhoads (1991, p. 329) convincingly argue "in comparison with role conflict, role ambiguity is more amenable to managerial intervention." Because the main objective of this study is to examine how supervisory behavior can contribute to reducing role stress among branch managers, the focus is on the role ambiguity construct.

Singh and Rhoads (1991) develop a multifaceted and multidimensional scale for measuring role ambiguity. In particular, they suggest that role ambiguity comprises the following dimensions: company, boss, customer, ethical, other managers, coworkers, and family. The current study examines primarily the relationship between branch managers and their immediate supervisors. Therefore, the "boss" dimension of Singh and Rhoads's scale is highly relevant. For present purposes, this study refers to this construct as *supervisor-related role ambiguity*. This study also includes the original scale that Rizzo et al. (1970) develop, which focuses on employees' perceptions regarding the requirements and demands of their job. This study refers to this construct as *job-related role ambiguity*.

Contemporary leadership theories, such as the leader–member exchange model and transformational leadership, emphasize the use of communication processes to influence the attitudes and behavior of employees and direct their activities to achieving organizational objectives. The provision of information is also critically important in the development of effective management control systems (Anderson and Oliver, 1987; Jaworski, 1988). From a thorough assessment of control theories, Challagalla and Shervani (1996) develop a typology of management control that includes the provision of information and the administration of reinforcements (rewards and punishments). In particular, they define three types of control: output control, activity control, and capability control. In turn, each type of control comprises three dimensions: information, rewards, and punishments.

The provision of relevant and timely information to boundary spanners by their immediate supervisors can serve as an effective mechanism for reducing role ambiguity. This study posits that the information

dimensions included in Challagalla and Shervani's (1996) conceptualization of control provide a comprehensive assessment of the type of information that frontline employees need to understand job-related objectives, performance standards, and supervisor's expectations.

The vast majority of previous studies on the correlates of role ambiguity focus on industrial salespeople. Personal selling is the most effective marketing tool for industrial firms and often the only revenue-generating factor (Krafft, 1999). However, as a result of the expansion of the services sector in recent decades, the number of customer-contact service providers is increasing dramatically. These employees play a critical role in the implementation of marketing strategic decisions at the exchange point (Babin and Boles, 1998). The current study focuses on the working relationship between a branch manager and his/her immediate supervisor, who is commonly an area manager.

2.2. Intrinsic motivation

Motivation is a significant determinant of job performance among boundary-spanning employees (Churchill et al., 1985). The literature distinguishes between intrinsic and extrinsic motivation (Ingram et al., 1989; Tyagi, 1985). Intrinsic motivation is the motivation to engage in an activity for its own sake because of the pleasure or value it offers (Brown and Peterson, 1994). Intrinsically motivated people devote effort on a particular task to derive intrinsically appealing rewards, such as pride, sense of accomplishment, satisfaction, and enjoyment (Mallin and Pullins, 2009; Tyagi, 1982). Extrinsic motivation is the "value an individual places on the results of an action and the individual's assessment of the probability of realizing the results" (Ingram et al., 1989, p. 26). Extrinsically motivated people are motivated by the rewards others provide, such as pay and formal recognition.

Despite the strong conceptual support for a positive relationship between an employee's level of motivation and important work outcomes (e.g., job satisfaction, job performance), empirical findings are inconsistent (Ingram et al., 1989; Tyagi, 1985). With the exception of industrial salespeople, limited evidence is available regarding the role of motivation in influencing the behavior and performance of frontline marketing employees. Overall motivation is likely a function of both intrinsic and extrinsic motivation because employees value both intrinsic and extrinsic rewards (Amabile, 1993; Tyagi, 1985). However, intrinsic motivation becomes particularly important when the compensation system is based on a fixed salary and various conditions prevent the grant of extrinsic rewards (Cravens et al., 1993). The luxury of financial security encourages employees to pursue intrinsic goals (Oliver and Anderson, 1994). This study focuses on branch managers whose remuneration package is determined by an overall organizational policy and mainly comprises a monthly fixed salary. Therefore, the emphasis is on intrinsic motivation. Previous research indicates that the control system is an effective management mechanism for enhancing employees' motivation (Cravens et al., 1993; Oliver and Anderson, 1994). Conversely, role stressors negatively affect intrinsic motivation (Tyagi, 1982). Drawing on the extant literature, this study proposes that job- and supervisor-related role ambiguity have a significant, negative influence on employees' intrinsic motivation. The implementation of an appropriate information control system reduces role ambiguity (e.g., Challagalla and Shervani, 1996), thus contributing to higher levels of intrinsic motivation. In turn, intrinsic motivation enhances bank branch managers' job satisfaction and performance. Fig. 1 illustrates the conceptual model that guides the execution of the study.

3. Research hypotheses

3.1. Information control

According to Challagalla and Shervani (1996), three facets of control involve the provision of information by supervisors to subordinates: activity information, capability information, and output information.

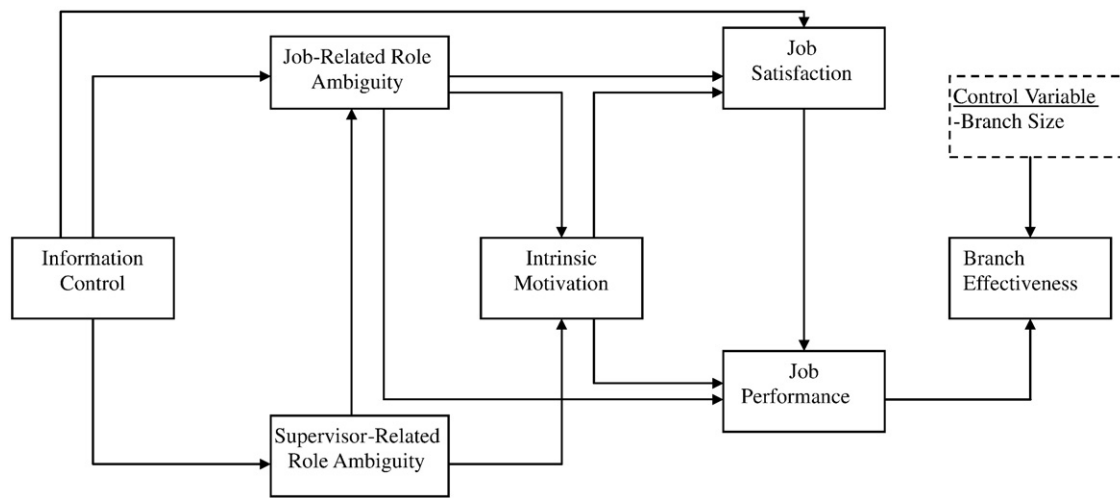


Fig. 1. A conceptual model of branch manager's role ambiguity, work outcomes, and performance.

Activity information involves specifying routine activity goals, monitoring employees, and providing feedback on activity performance. To implement this type of information control, supervisors must frequently monitor branch managers. The need for close monitoring is likely to increase communication between branch managers and their supervisors, resulting in greater knowledge with respect to the supervisor's expectations and demands. Capability information includes setting goals for the desired level of skills and capabilities, monitoring branch managers, and providing guidance for improvement. To fulfill this responsibility, supervisors need to commit time and effort on direct interaction with branch managers. Finally, output information involves the provision of information from supervisors to branch managers regarding performance objectives (e.g., sales volume, market share) and frequent feedback regarding the progress achieved. Collectively, information control activities contribute to lowering supervisor-related role ambiguity.

H1. Information control reduces supervisor-related role ambiguity.

Upper management in banking institutions faces many difficulties in prescribing exactly which actions branch managers should undertake in every possible situation. The development of formal job descriptions and the establishment of standard operating procedures can provide only limited remedy to this problem. Therefore, the guiding role of supervisors is critically important. An information control system enables supervisors to interact frequently with branch managers and provide advice regarding performance objectives, activity goals, and the levels of skills and abilities required for conducting their job. Providing feedback on past and current performance and direction for improvement is also an integral part of such a system (Challagalla and Shervani, 1996). In turn, information control helps branch managers understand job requirements and performance standards and identify appropriate courses of action to handle specific job situations.

H2. Information control reduces job-related role ambiguity.

The nature and quality of the interaction between branch managers and their immediate supervisor is likely to influence their level of job satisfaction (Brown and Peterson, 1993). Through appropriate communication mechanisms, branch managers become aware of the organizational goals and objectives and understand how their branch should contribute to their achievement. In addition, they can realize how important their role is in the organization and make a clear link between their performance and overall organizational performance.

They also feel assured that their immediate supervisor is able and willing to support them in carrying out their job duties and responsibilities. Under these circumstances, branch managers feel positively about their job, and thus their level of job satisfaction should increase.

H3. Information control relates positively to job satisfaction.

3.2. Supervisor-related role ambiguity

Supervisors play an important role in the implementation of management control systems, mainly as a result of the nature of their working relationship and the frequent interaction with their subordinates (Challagalla and Shervani, 1996; Jaworski, 1988). In the banking industry in particular, area managers need to inform branch managers about the bank's policies and regulations regarding a variety of issues. Branch managers often face new or unique problems and situations for which no obvious treatment exists, and sometimes they are uncertain about the actions that would be acceptable to upper management. When a supervisor is unable or unwilling to advise a branch manager about the handling of such situations, his/her level of job-related role ambiguity is likely to increase.

H4. Supervisor-related role ambiguity increases job-related role ambiguity.

Intrinsic motivation suggests that a person is driven to put forth effort on a given task because he/she views the performance contingent rewards associated with the task (e.g., pride, sense of accomplishment, satisfaction) as intrinsically appealing (Mallin and Pullins, 2009). This definition implies that intrinsic motivation increases when employees have clear performance objectives, understand the criteria their supervisors use to evaluate and reward their performance, and feel that they are responsible for the results of their efforts (Anderson and Oliver, 1987). Conversely, when employees are uncertain about the expectations of their immediate supervisor, they are reluctant to accept responsibility for job outcomes (Grant et al., 2001). Therefore, branch managers experience lower levels of intrinsic motivation when their supervisor's expectations and demands are highly ambiguous.

H5. Supervisor-related role ambiguity reduces intrinsic motivation.

3.3. Job-related role ambiguity

Employee role ambiguity is an area of interest across multiple disciplines (Babin and Boles, 1996). Branch managers experience job-

related role ambiguity when they do not possess the necessary information to perform their tasks in an effective and efficient way. These managers may be uncertain about the needs, requirements, and expectations of upper management, customers, or other stakeholders. In addition, they may ignore the standards and criteria to be used to evaluate their performance. Therefore, they may hesitate to adopt specific courses of action to handle certain situations and will inevitably experience job stress and tension that result in confusion and a lower level of intrinsic motivation (Tyagi, 1982).

H6. Job-related role ambiguity relates negatively to intrinsic motivation.

According to role theory (Kahn et al., 1964), job-related role ambiguity contributes significantly to employee stress. In turn, the experienced levels of job stress result in dissatisfaction and anxiety that reduce job satisfaction and job performance. Many empirical studies demonstrate the deleterious effects of job-related role ambiguity on job satisfaction and job performance (Arnold et al., 2009; Babin and Boles, 1996, 1998; Lusch and Jaworski, 1991; Singh, 1993).

H7. Job-related role ambiguity relates negatively to job satisfaction.

H8. Job-related role ambiguity relates negatively to job performance.

3.4. Intrinsic motivation

Service employees who are intrinsically motivated are more likely to experience challenges, stimulation, and task enjoyment when they practice their job requirements (Deci and Ryan, 1985; Miao et al., 2007). Anderson and Oliver (1987) suggest that people prefer their activities to be self-determined rather than other-determined and, along these lines, tend to prefer intrinsically motivated situations. This assumption suggests that intrinsically motivated employees experience high levels of job satisfaction. Thus, branch managers who are intrinsically motivated devote more time and effort on monitoring the market, identifying new business opportunities, managing relationships with existing customers, providing feedback to subordinates, and contributing to a balanced organizational climate (Berry et al., 1976). Therefore, branch managers with higher motivation levels are likely to be high performers because they are willing to exert the necessary effort and conduct their duties with greater self-confidence (Brown and Peterson, 1993).

H9. Intrinsic motivation relates positively to job satisfaction.

H10. Intrinsic motivation relates positively to job performance.

3.5. Work outcomes

Inconsistent research findings spur a fierce debate regarding the causal direction and strength of the job satisfaction–job performance relationship. Following an extensive review of the sales management literature, Brown and Peterson (1993) conclude that these constructs have a modest positive relationship. Other meta-analysis studies also find a weak or modest relationship between job satisfaction and job performance (Iaffaldano and Muchinsky, 1985; Judge et al., 2001). In contrast, empirical evidence from a retailing context indicates a positive direct association between job performance and job satisfaction (Babin and Boles, 1996). Similarly, in their meta-analysis, Franke and Park (2006) conclude that job satisfaction is a strong predictor of job performance.

The current study proposes that a branch manager who is satisfied with his/her job is more likely to experience a positive psychological state that he/she may attribute to the employing organization. Job satisfaction may also reflect the fulfillment of a branch manager's personal needs and career goals. In both cases, a satisfied branch manager is

motivated to work harder and therefore will achieve superior job performance (Judge et al., 2001). In addition, a branch manager who achieves increased job outcomes in terms of market share, sales volume, profitability, and customer satisfaction contributes to the branch's overall effectiveness (Cravens et al., 1993; Grant and Cravens, 1999).

H11. Job satisfaction relates positively to job performance.

H12. Job performance relates positively to branch effectiveness.

4. Research methodology

4.1. Research context

This study involves a large-scale survey in the context of banking institutions operating in Greece. Financial services account for a significant percentage of economic activity in many developed and developing countries, including Greece. The banking industry contributes more than 4% to the gross domestic product of Greece, and the banking sector accounts for almost 35% of the capitalization of the Athens Stock Exchange. The banking sector provides an ideal setting for investigating the role of frontline managers in influencing the activities, capabilities, and performance of customer-contact employees and directing their behavior to accomplishing organizational objectives.

4.2. Sample and data collection

The study employs a survey methodology for data collection using the branch manager as the key respondent. Preliminary discussions with several branch managers indicated that participation in the survey would be significantly enhanced by securing a written authorization from upper management of the banking institutions. To this end, officials of the Hellenic Banks Association (HBA) were contacted and asked for their cooperation and support. The HBA endorsed the survey after a thorough assessment of the purposes and objectives of the research. Subsequently, a formal letter (signed by the principal investigator and endorsed by the HBA) inviting participation in the survey was sent to the heads of the human resources department of each of the 27 banks that operate in Greece and are members of the HBA. Five banks agreed to participate in the study. In total, these banks operate 630 bank branches in Greece.

Several joint meetings with administrators from the human resources departments of the five participating banks provided information on the most efficient and effective way to administer the survey. Finally, participating banks offered to deliver the questionnaires to branch managers through their internal mail system. However, to secure the confidentiality of responses and enhance response rates, branch managers returned the completed questionnaires directly to the principal investigator, using a pre-addressed postage free envelope. In this way, each of the 630 branch managers received a mailing package including a cover letter, the questionnaire, and the return envelope. In addition to explaining the importance and objectives of the study, the cover letter emphasized that upper management of each participating bank authorized and fully supported the survey and that the HBA endorsed the research effort. The data collection process resulted in 316 completed and usable questionnaires, for a response rate of 50.16%.

4.3. Measurement

Measurement of the study constructs involved the employment of multi-item reflective scales (Bollen and Lennox, 1991). For all study constructs, preexisting measures were available in the literature. However, minor adaptation to the wording of certain items helped improve their compatibility with the banking industry context. The first draft of the questionnaire was initially developed in English, translated in Greek, and then back-translated into English. This procedure ensures

that the English and the Greek versions of the questionnaire contain equivalent measures. Subsequently, several branch managers assessed the appropriateness and clarity of questions and measurement items

and provided valuable feedback that assisted the refinement of certain questions. Table 1 presents a complete list of all measurement items, the source of each scale, and response formats.

Table 1
Measurement scales, confirmatory factor analysis results, and reliabilities.

Constructs and measurement items	Standardized loadings ^a
Information control (seven-point scale, anchored by <i>strongly disagree</i> and <i>strongly agree</i>) Source: Challagalla and Shervani (1996)	
A. Output information ($\alpha = .91$; CR = .91; AVE = .72)	.79 (10.82)
My immediate line manager informs me about the level of achievement expected on sales volume targets	.78 ^b
I receive feedback on whether I am meeting expectations on sales volume targets	.86 (14.62)
My immediate line manager monitors my progress on achieving sales volume targets	.87 (14.89)
My immediate line manager makes sure that I am aware of the extent to which I achieve sales volume targets	.88 (14.99)
B. Capability information ($\alpha = .93$; CR = .93; AVE = .76)	.86 (12.48)
My immediate line manager has standards by which my managerial skills are evaluated	.83 ^b
My immediate line manager periodically evaluates the managerial skills I use to accomplish a task	.90 (17.70)
My immediate line manager provides guidance on ways to improve managerial skills and capabilities	.89 (17.40)
My immediate line manager evaluates how I manage major customers	.86 (16.46)
C. Activity information ($\alpha = .92$; CR = .92; AVE = .70)	.92 (13.07)
My immediate line manager informs me about the activities I am expected to perform	.81 ^b
My immediate line manager monitors my activities	.80 (14.18)
My immediate line manager informs me on whether I meet his/her expectations	.85 (15.66)
My immediate line manager tells me to adjust my activities, if he/she feels that there is need to do so	.89 (16.62)
My immediate line manager evaluates my activities	.84 (15.28)
Supervisor-related role ambiguity (reverse scale) ($\alpha = .92$; CR = .93; AVE = .61) (seven-point scale, anchored by <i>very uncertain</i> and <i>very certain</i>) Source: Singh and Rhoads (1991)	
How to meet the demands of my immediate line manager	.86 ^b
What aspects of my job are most important to my immediate line manager	.83 (16.42)
The level of professionalism my immediate line manager expects of me	.83 (16.56)
How satisfied my immediate line manager is with me	.83 (16.28)
How I should respond to my immediate line manager's criticism	.77 (14.46)
How my immediate line manager expects me to allocate my time among different aspects of job	.74 (13.54)
To what extent my immediate line manager is open to hearing my point of view	.72 (13.03)
The method my immediate line manager will use to evaluate my performance	.66 (11.55)
Job-related role ambiguity (reverse scale) ($\alpha = .87$; CR = .88; AVE = .55) (seven-point scale, anchored by <i>never</i> and <i>always</i>) Source: Rizzo et al. (1970)	
I feel certain about how much authority I have	.70 ^b
I have clear, planned goals and objectives for my job	.83 (11.72)
I know that I have divided my time properly	.66 (9.51)
I know what my responsibilities are	.75 (10.68)
I know exactly what is expected of me	.77 (10.89)
Explanation is clear of what has to be done	.74 (10.53)
Intrinsic motivation ($\alpha = .89$; CR = .89; AVE = .73) (seven-point scale, anchored by <i>strongly disagree</i> and <i>strongly agree</i>) Source: Cravens et al. (1993)	
I obtain a sense of accomplishment from my work	.79 ^b
I feel a sense of personal growth and development in my work	.87 (14.66)
I get a feeling of stimulation and sense of challenging involvement in my work	.90 (15.22)
Job satisfaction (seven-point scale, anchored by <i>strongly disagree</i> and <i>strongly agree</i>) Source: Wood et al. (1986)	
A. Satisfaction with information ($\alpha = .79$; CR = .78; AVE = .64)	.91 (11.77)
I am satisfied with the information I receive from my supervisor about my job performance	.80 ^b
There is enough opportunity in my job to find out how I am doing	.81 (12.19)
B. Satisfaction with variety ($\alpha = .80$; CR = .80; AVE = .58)	.77 (9.63)
I am satisfied with the variety of activities my job offers	.76 ^b
I am satisfied with the opportunities my job provides me to interact with others	.76 (10.72)
There is enough variety in my job	.76 (10.69)
C. Satisfaction with freedom/closure ($\alpha = .86$; CR = .86; AVE = .61)	.67 (7.47)
I have enough freedom to do what I want in my job	.58 ^b
My job has enough opportunity for independent thought and action	.67 (8.28)
I am satisfied with the opportunities my job gives me to complete tasks from beginning to end	.94 (10.09)
My job has enough opportunity to complete the work I start	.89 (9.94)
Job performance ($\alpha = .88$; CR = .88; AVE = .56) (seven-point scale, anchored by <i>strongly disagree</i> and <i>strongly agree</i>) Source: Cravens et al. (1993)	
Contributing to your bank's acquiring a good market share	.79 ^b
Selling high profit-margin products	.71 (11.35)
Generating a high level of sales revenues	.79 (12.91)
Quickly generating sales of new products	.76 (12.32)
Identifying and selling to major accounts in your area	.71 (11.44)
Assisting your immediate line manager to meet his/her goals	.74 (12.06)
Branch effectiveness ($\alpha = .86$; CR = .87; AVE = .63)	

Table 1 (continued)

Constructs and measurement items	Standardized loadings ^a
(seven-point scale, anchored by <i>much worse</i> and <i>much better</i>)	
Source: Cravens et al. (1993)	
Sales	.85 ^b
Market share	.82 (14.79)
Profitability	.85 (15.49)
Level of customer satisfaction	.62 (10.15)

^a *t*-values are in parentheses.^b Fixed item.

As Table 1 shows, this study conceptualizes information control and job satisfaction as second-order constructs, each comprising three dimensions. This conceptualization is based on a thorough assessment of the empirical and theoretical concerns proposed in the relevant literature (Hair et al., 2010). Empirically, the two second-order constructs account for the covariance between their underlying first-order factors. Theoretically, information control represents a higher level of abstraction than the three first-order factors that serve as its indicators (output information, capability information, and activity information). Similarly, job satisfaction is a more abstract construct than the three first-order factors, which assess satisfaction with specific facets of the job (satisfaction with information, satisfaction with variety, satisfaction with freedom/closure). Finally, the first-order factors that serve as indicators of each of the two second-order constructs should exhibit the same pattern of relationships to other key constructs (Hair et al., 2010).

5. Analysis and results

5.1. Measure validation

The data analysis procedure initially involves the assessment of the psychometric properties of measurement scales before estimation of the overall structural model. In line with Gerbing and Anderson's (1988) guidelines, an iterative purification process employs exploratory factor analysis, item-to-total correlation, and confirmatory factor analysis (CFA). Preliminary exploratory factor analysis and item-to-total correlations result in the elimination of certain items that exhibit low factor loadings and low item-to-total correlations or load heavily on more than one factor. The remaining items are subjected to CFA using EQS (Bentler, 1995). The results suggest a good fit to the data. The chi-square statistic is significant ($\chi^2_{(1100)} = 2147.99, p < .01$), but all alternative fit indices exceed the acceptable standards ($\chi^2/\text{d.f.} = 1.95$, comparative fit index [CFI] = .97, nonnormed fit index [NNFI] = .97, and root mean square error of approximation [RMSEA] = .055).

Table 1 presents standardized loadings and *t*-values obtained from the estimation of the CFA model. All first- and second-order factor loading are large and significant, providing evidence of convergent validity. Discriminant validity is also evident; for all possible pairs of constructs, the shared variance (i.e., the squared intercorrelation) is lower than the average variance extracted (AVE) for the individual constructs (Fornell and Larcker, 1981). Reliability analysis involves the estimation of Cronbach's alpha coefficient, composite reliability score, and AVE. Reliability estimates appear in Table 1. All constructs have alpha values and composite reliabilities scores that exceed .7, and AVE is greater than .5, satisfying the recommended thresholds (Bagozzi and Yi, 1988; Fornell and Larcker, 1981). Table 2 presents descriptive statistics and intercorrelations for the study constructs.

5.2. Structural model estimation

Table 3 presents the results of the structural model estimation. To control for some of the unobserved heterogeneity in the data, the

structural model includes branch size (or the logarithmic transformation of the number of employees working for the branch) as an antecedent of branch effectiveness. Fit statistics indicate a good fit to the data ($\chi^2_{(1157)} = 2215.93, p < .01$; $\chi^2/\text{d.f.} = 1.92$; CFI = .97; NNFI = .97; and RMSEA = .054). With two exceptions (i.e., the path linking information control to job-related role ambiguity and the path linking intrinsic motivation to job performance), all path coefficients are significant and in the expected direction, providing support for 10 of the 12 research hypotheses. Overall, the results of this study suggest that the implementation of an effective information control system offers important benefits to banks by reducing negative feelings of role ambiguity and encouraging the adoption of favorable employee attitudes and behaviors that ultimately lead to superior business performance.

6. Discussion and implications

This study provides empirical evidence regarding the correlates of role ambiguity in the context of frontline managers in the financial services industry. Although previous work provides consistent evidence that role stress negatively affects the performance of boundary spanners, limited knowledge exists regarding the managerial actions that reduce this undesirable phenomenon. In addition, few studies in this area focus on boundary-spanning positions in service organizations. This study fills this notable gap in the literature and serves as a platform for future scholarly research.

The study findings shed light on a variety of practical and theoretical matters regarding the role of area managers in influencing particular aspects of branch managers' attitudes, behaviors, and work outcomes. With respect to the information dimension of management control, some surprising results emerge. On the one hand, in line with existing theory, information control contributes to lower levels of supervisor-related role ambiguity. A strong positive relationship also exists between supervisor- and job-related role ambiguity. On the other hand, and in contrast with expectations, study findings reveal a weak and insignificant relationship between information control and job-related role ambiguity. This implies that greater information control does not always reduce job-related role ambiguity. As Singh (1993, p. 14) suggests, in certain cases information provision may have only a "localized" effect. In particular, when area managers provide most of the information to branch managers, this information may lead to a better understanding of their own expectations and demands. However, this information does not help branch managers cope with broader aspects of role ambiguity inherent in their job. To overcome this deficiency, area managers should adopt two-way communication approaches and actively seek feedback to understand the overall information needs of branch managers and offer them appropriate guidance and support.

Research findings also indicate that both facets of role ambiguity have a significant, negative effect on branch managers' intrinsic motivation. Considering the significant, positive relationship between intrinsic motivation and job satisfaction, area managers should devote greater effort on practical measures that can reduce role ambiguity. In particular, they should provide specific guidelines on (1) the performance of daily

Table 2
Descriptive statistics and correlation matrix.

	Mean	S.D.	1	2	3	4	5	6	7	8	9	10	11
1. Output information	6.09	.98	–										
2. Capability information	4.92	1.50	.62	–									
3. Activity information	5.46	1.23	.68	.75	–								
4. Supervisor-related role ambiguity	2.39	.94	–.49	–.53	–.52	–							
5. Job-related role ambiguity	1.99	.74	–.34	–.35	–.38	.62	–						
6. Intrinsic motivation	5.62	1.09	.28	.32	.33	–.48	–.48	–					
7. Satisfaction with information	5.41	1.17	.57	.58	.61	–.59	–.49	.44	–				
8. Satisfaction with variety	5.64	.96	.40	.38	.45	–.44	–.43	.47	.52	–			
9. Satisfaction with freedom/closure	4.63	1.16	.32	.35	.35	–.48	–.40	.41	.46	.51	–		
10. Job performance	5.86	.83	.45	.37	.45	–.41	–.52	.46	.47	.47	.27	–	
11. Branch effectiveness	5.26	.98	.30	.21	.24	–.31	–.33	.50	.30	.28	.22	.38	–
12. Branch size (number of employees)	8.07	5.19	–.07	–.07	–.07	.01	–.04	.12	–.14	.08	.06	.04	.24

Note: All correlations above .20 are significant at $p < .01$.

activities; (2) the management of lower-level employees and major customers; (3) effective methods, techniques, and procedures for accomplishing job tasks and improving performance; and (4) the financial and other performance objectives the branch must achieve within a specific period. Upper management also should plan and execute relevant training programs, establish clear and straightforward organizational policies, and devise effective communication mechanisms that will facilitate employees' awareness of important and relevant changes that occur in the organization and its environment.

High-performing branch managers contribute significantly to the effectiveness of the branch they manage. To improve the performance of bank branches, upper management must manage several relationships effectively (see Fig. 1). In particular, upper management must administer an effective information control system to eliminate perceptions of role ambiguity and contribute to the development of intrinsically motivated and satisfied employees. Branch managers who are intrinsically motivated are also more satisfied with their job. Job satisfaction significantly improves their job performance, which in turn enhances branch effectiveness and supports the long-term prosperity of the banking institution.

Study findings do not support the hypothesized relationship between intrinsic motivation and job performance. A likely explanation for these unexpected results is that intrinsic motivation is not a sufficient condition for achieving certain performance results, such as market share, sales revenues, and profits. Research evidence indicates that when employees have significant latitude in work procedures, the direction of effort is a major determinant of performance (Weitz et al., 1986). In the absence of relevant rewards contingent on outcome-based performance, intrinsically motivated employees may concentrate their efforts on activities that do not directly enhance job

performance. Thus, area managers must pay attention to improving the direction of bank branch managers' effort by motivating them to "work smarter" (Sujan, 1986, p. 41). Previous research suggests that effort mediates the influence of motivation on job performance (Brown and Peterson, 1994). In addition, more recent studies propose that intrinsic motivation comprises cognitive (e.g., challenge seeking) and affective (e.g., task enjoyment) dimensions that have distinct antecedents and consequences (Miao and Evans, 2007; Miao et al., 2007). A global measure of intrinsic motivation, similar to the one adopted in this study, may lead to confounded and thus inconclusive results. Previous research also suggests that intrinsic motivation is linked to strategy-oriented behavior, and therefore its impact on work outcomes may be long term (Ingram et al., 1989). A more thorough analysis of the intrinsic motivation construct is necessary to understand its precise role in influencing job performance.

7. Limitations and future research avenues

Several factors limit this empirical effort and need consideration when evaluating its outcomes and conclusions. First, the cross-sectional nature of this study inhibits the ability to undertake tests of causality between the constructs included in the research model. To further inform the associations among bank branch managers' perceptions, attitudes, and work-related outcomes, longitudinal research designs are necessary. Second, the study calls for a particular employee (e.g., the bank branch manager) to complete the questionnaire. Future research efforts should consider using multiple sources of information (e.g., area manager, branch manager, branch employees, branch customers) to measure the various constructs and test the hypothesized

Table 3
Standardized path coefficients and *t*-values for the structural model.

Hypothesized paths	Expected sign	Standardized coefficient	<i>t</i> -value	Hypothesis test
H1 Information control → supervisor-related role ambiguity	–	–.60	–7.70*	Supported
H2 Information control → job-related role ambiguity	–	–.09	–1.12	Not supported
H3 Information control → job satisfaction	+	.60	7.32*	Supported
H4 Supervisor-related role ambiguity → job-related role ambiguity	+	.62	7.06*	Supported
H5 Supervisor-related role ambiguity → intrinsic motivation	–	–.34	–3.91*	Supported
H6 Job-related role ambiguity → intrinsic motivation	–	–.31	–3.49*	Supported
H7 Job-related role ambiguity → job satisfaction	–	–.23	–3.29*	Supported
H8 Job-related role ambiguity → job performance	–	–.27	–3.02*	Supported
H9 Intrinsic motivation → job satisfaction	+	.30	4.46*	Supported
H10 Intrinsic motivation → job performance	+	.13	1.65	Not supported
H11 Job satisfaction → job performance	+	.39	3.78*	Supported
H12 Job performance → branch effectiveness	+	.45	6.29*	Supported
Control variable				
Branch size → branch performance	+	.16	2.61*	

Note: Fit statistics for structural model: $\chi^2_{1157} = 2215.93$, $p < .01$; $\chi^2/\text{d.f.} = 1.92$; CFI = .97; NNFI = .97; RMSEA = .054.

* $p < .01$.

associations, thus eliminating problems related to common method bias.

Third, the study sample includes only frontline managers in banking institutions. Future research endeavors should investigate the hypothesized associations in different business settings and offer comparative results between the banking industry and other service sectors. Fourth, this study focuses on role ambiguity, which is an important source of role stress among boundary-spanning employees. However, other sources of stress, such as role conflict (Rizzo et al., 1970), work–family conflict (Boles and Babin, 1996; Netemeyer et al., 2005), and lack of self-efficacy (Sujan et al., 1994), may determine frontline managers' job-related attitudes, behavior, and performance. Fifth, this study employs a global measure for intrinsic motivation. Future studies should provide a more thorough investigation of the different dimensions of this construct and how they relate to different work outcomes. Researchers should also examine the potential mediating effect of effort on the relationship between motivation and job performance. Sixth, in addition to branch size, other organizational characteristics (e.g., organizational structure, available resources) and personal characteristics (e.g., age, education, gender, experience) can influence branch effectiveness and branch managers' job performance, respectively. Therefore, future research should expand this study's conceptual model by investigating other relevant constructs, including additional sources of role stress, and controlling for the influence of organizational and personal characteristics. Finally, this study offers an empirically test for a conceptual model, using data collected from a single country (e.g., Greece). The assessment of the external validity of the study findings must involve the implementation of replication studies in other developing or developed countries.

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